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MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-UGP (Honours)/ MGU-BBA (Honours)/ MGU-BCA (Honours) REGULAR
EXAMINATION October 2026
Fifth SEMESTER
Skill Enhancement Course (SEC) - MG5SECECO301 - ECONOMICS OF RURAL ENTREPRENEURSHIP
(2024 ADMISSION ONWARDS)

Duration: 1 hour 30 minutes **Maximum Marks: 50**

Remember(K), Understand(U), Apply(A), Analyse (An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation (Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Multiple Choice Questions- Answer all questions -Each question carries **1** marks.

1.D-Market research

2.D-MoRD makes policies; PRIs implement them locally

3.A-Rural handicraft enterprise

4.A-Poultry farming

5.C-MSMEs, start-ups and market access

6.C-Fruit processing

7.B-Honey production and the contribution of bees to pollination

8.A-FSSAI registration or licence

9.B-Sustainable harvesting

10.D-Person; process

11.B-A network of institutions, resources, markets and support systems

12.A-Market demand, production cost and raw-material availability

13.D-Skill gap

14.B-Revise and justify the assumptions

15.B-Handicraft production

Part B

Short Answer Type Questions-Answer any **10** questions-Each question carries **2** marks

16. Mention any two ways in which "Innovation and entrepreneurship are closely linked to economic development'

Innovation and productivity: Innovation introduces new products, technologies and production methods, improving productivity and economic growth.

Employment generation: Entrepreneurship creates new enterprises and employment opportunities, reducing unemployment and underemployment.

17. Compare primary processing and secondary processing, using suitable examples from agricultural products.

Primary Processing- Involves the initial processing of agricultural products after harvesting.

Examples: cleaning, grading, drying and milling.

Secondary Processing- Involves converting primary processed products into value-added products.

Examples: producing jam from fruit pulp, biscuits from flour and cheese from milk.

18. Assess the importance of handicrafts as a rural non-farm entrepreneurship opportunity.

Handicrafts provide employment and income to rural artisans, particularly women and traditional craft workers. They utilise locally available raw materials and traditional skills, promote cultural heritage and reduce dependence on agriculture.

19. Why is access to market information important for rural entrepreneurs?

Market information helps rural entrepreneurs understand consumer demand, prevailing prices, competitors and market trends. It enables them to make better production, pricing and marketing decisions and reduce business risks.

20. Outline the major procedures involved in obtaining formal finance for a rural enterprise, from the initial business proposal to sanction, documentation and disbursement.

1.Prepare a business proposal or project report.

2.Identify a suitable bank or financial institution and submit the loan application.

3.Provide necessary documents, including identity proof, financial statements and project details.

4.The bank evaluates the project, repayment capacity and eligibility.

5.After sanction and completion of documentation, the loan amount is disbursed.

21. What are organic farm products? Give two examples.

Organic farm products are agricultural products cultivated using organic farming practices that avoid synthetic chemical fertilisers and pesticides and promote ecological sustainability. Examples: -Organic vegetables, -Organic rice

22. What is meant by a rural micro-enterprise?

A rural micro-enterprise is a small-scale business established in a rural area, generally involving limited investment, a small workforce and locally available resources. - Examples: tailoring units, small food-processing units and handicraft production.

23. What are the main objectives and beneficiaries of Prime Minister's Employment Generation Programme?.

PMEGP Generate employment opportunities through the establishment of micro-enterprises.

PMEGP Promote self-employment and entrepreneurship.

PMEGP Encourage rural and urban economic development.

Beneficiaries: Eligible aspiring entrepreneurs, unemployed youth, artisans and other individuals or groups establishing new micro-enterprises. PMEGP provides margin-money subsidy assistance through eligible financial institutions.

24. Evaluate the importance of proper disease management in poultry entrepreneurship

Proper disease management is essential because it: Reduces poultry mortality and production losses, improves bird health, productivity and egg/meat quality, Prevents the spread of infectious diseases, increases profitability and ensures sustainable poultry farming.

25. Mention any four entrepreneurial competencies relevant to a rural entrepreneur.

1. Opportunity identification 2. Risk-taking ability 3. Decision-making skills 4. Resource mobilisation

Other acceptable answers include leadership, innovation, communication, persistence and problem-solving.

26. What is a market survey?

A market survey is the systematic collection and analysis of information about consumers, competitors, demand, prices and market conditions to support business decisions.

27. Why is mushroom cultivation considered a potential source of rural income and employment?

Mushroom cultivation requires relatively little land and investment. It can utilise agricultural waste as a growing medium, provides quick returns and creates employment opportunities, particularly for rural women and small farmers.

28. What is entrepreneurship?
Entrepreneurship is the process of identifying business opportunities, organising resources, introducing innovations and undertaking risks to establish and manage an enterprise for economic and social value creation.

Part C

Short Essay Type questions - Answer any **3** questions -Each question carries **5** marks

29. Compare the major theories of entrepreneurship and explain how each provides a different explanation of entrepreneurial behaviour.

Entrepreneurship theories explain why individuals become entrepreneurs and how entrepreneurial behaviour contributes to economic development.

Theory	Major Proponent	Explanation
Innovation Theory	Joseph A. Schumpeter	Entrepreneurs introduce innovations such as new products, production methods, markets and organisational forms.
Risk-Bearing Theory	Frank H. Knight	Entrepreneurs undertake uncertainty and earn profit as a reward for bearing uninsurable risks.
Uncertainty-Bearing Theory	Richard Cantillon	Entrepreneurs purchase resources at known prices and sell products at uncertain prices.
Need for Achievement Theory	David McClelland	Individuals with a strong need for achievement are more likely to become entrepreneurs.
Sociological Theory	Max Weber	Social values, culture and religious beliefs influence entrepreneurial behaviour.

These theories explain entrepreneurship from different perspectives, including innovation, risk, uncertainty, psychological motivation and social environment.

(Note: Students may present equivalent answers with suitable examples)

30. Design a branding and labelling plan for a rural product of your choice and explain how it can support market acceptance.

Product: Organic Honey produced by a rural enterprise

1. Brand Name-"Thennal Organic Honey" -The name reflects the natural origin and rural identity of the product.

2. Brand Identity-Use a simple logo featuring a honeybee and a flower-Use natural colours such as yellow, brown and green-Highlight the local origin of the product.

3. Packaging -Use food-grade glass bottles or suitable food-grade containers -Provide secure, leak-proof packaging-Offer different sizes such as 250 g and 500 g.

4. Labelling -The label should include-Brand name and product name -Net quantity -Ingredients-Nutritional information, where applicable- Batch number -Manufacturing/packing date and best-before information -Name and address of the manufacturer - FSSAI registration or licence details, as applicable - MRP and consumer-

care details - Organic claims and certification should be used only when the product meets the applicable requirements.

5. Marketing Strategy - Sell through local shops, farmers' markets and supermarkets. - Promote the product through social media and e-commerce platforms. - Use local identity and traceability to build consumer confidence.

Effective branding and labelling differentiate the product, communicate quality, build trust and improve market acceptance.

(Note: Students may present equivalent answers with suitable examples)

31. Present how sericulture can be used as a rural entrepreneurship opportunity for employment generation, income diversification and rural livelihood development.

Sericulture is the cultivation of silkworms for silk production. It offers an important rural entrepreneurship opportunity.

1. Employment Generation -Sericulture creates employment in mulberry cultivation, silkworm rearing, cocoon production, silk reeling and weaving.

2. Income Diversification - Farmers can combine sericulture with agriculture and other activities, reducing dependence on a single source of income.

3. Utilisation of Local Resources - It utilises locally available land, labour and agricultural resources. Mulberry cultivation can be integrated into existing farming systems.

4. Opportunities for Women - Silkworm rearing and cocoon processing provide employment opportunities for rural women and family-based enterprises.

5. Development of Rural Industries - Sericulture promotes silk reeling, weaving, textile production and other rural industries, generating additional value.

Sericulture supports rural livelihood development through employment, income diversification, resource utilisation and the growth of rural industries.

(Note: Students may present equivalent answers with suitable examples)

32. Evaluate the potential of aquaculture as a rural entrepreneurship opportunity with reference to income generation, employment creation and utilisation of local resources.

Aquaculture refers to the farming of aquatic organisms such as fish, prawns and other aquatic species under controlled conditions.

1. Income Generation - Aquaculture provides income through the production and sale of fish and other aquatic products. Fish has significant demand as a source of protein.

2. Employment Creation - It generates employment in pond preparation, fish breeding, feeding, harvesting, processing, transportation and marketing.

3. Utilisation of Local Resources - Aquaculture utilises ponds, tanks, reservoirs and other suitable water resources available in rural areas.

4. Entrepreneurship Opportunities - Rural entrepreneurs can establish fish hatcheries, fish farms, feed production units, fish-processing units and marketing enterprises.

5. Rural Economic Development - Aquaculture improves livelihood opportunities, supports food security and promotes allied rural industries.

Limitations: Disease outbreaks, poor water quality, high feed costs, lack of technical knowledge and market fluctuations can affect profitability.

Aquaculture has considerable potential for rural entrepreneurship when supported by appropriate technology, financial assistance, disease management and market access.

(Note: Students may present equivalent answers with suitable examples)

33. Examine the role of digitalisation, e-commerce and social media in the recent evolution of rural entrepreneurship

Digitalisation has transformed rural entrepreneurship by improving access to information, markets, financial services and business opportunities.

1. Digital Payments - UPI, mobile banking and digital payment systems make transactions easier, faster and more transparent.

2. E-Commerce - Online marketplaces enable rural entrepreneurs to sell products beyond local markets and reach national and international consumers.

3. Social Media Marketing - Platforms such as Instagram, Facebook and WhatsApp help entrepreneurs promote products, communicate with customers and develop brand awareness.

4. Access to Market Information - Digital platforms provide information on consumer preferences, market prices, competitors and business opportunities.

5. Improved Business Management - Digital tools help entrepreneurs maintain accounts, manage inventory, communicate with suppliers and monitor sales.

Challenges - Limited digital literacy, poor internet connectivity, cybersecurity risks, logistics constraints and digital payment difficulties may restrict adoption.

Digitalisation creates new opportunities for rural entrepreneurship by reducing geographical barriers and improving market access, efficiency and competitiveness.

(Note: Students may present equivalent answers with suitable examples)